

Weekly Market View

Opportunities from the bond sell-off

→ The global bond sell-off is creating tactical and medium-term opportunities. In the US, September's yield surge has improved the risk-reward in 10-year government bonds, presenting an attractive entry point for investors with a 6-12-month horizon.

→ We believe bond and money markets are overly hawkish about the Fed outlook, given disinflation is likely to return as the impact of oil prices and tariffs ease next year.

→ In equities, we stick to quality, especially sectors riding the AI-led earnings boom. The upcoming Q3 earnings season is likely to show AI-investments are powering sectors beyond the technology and communications services. We remain constructive on the semiconductor and memory segments.

→ We also expect the US Dollar to peak in the next few weeks along with short-to-medium-term US bond yields. This creates opportunities for AUD corporate bonds, Emerging Market USD bonds and gold.

Can equities withstand higher bond yields?

How do US mid-term election outcome scenarios affect the outlook for equities?

What is the outlook for AUD and AUD bonds after the latest RBA policy meeting?

Charts of the week: Compelling yields

The risk-reward in US 10-year government bonds looks compelling; in equities, we stick to quality large-cap segments

Expected total returns on government bonds from shifts in yields*

Expected yield in 12 months	US	Germany	Japan	UK
7.0%	-7.4	-17.9	-20.3	-5.3
6.5%	-4.1	-15.1	-18.6	-2.0
6.0%	-0.6	-12.0	-16.7	1.5
5.5%	3.0	-8.8	-14.4	5.2
5.0%	6.9	-5.3	-11.9	9.0
4.5%	10.9	-1.7	-9.1	13.1
4.0%	15.1	2.2	-6.1	17.3
3.5%	19.5	6.3	-2.7	21.6
3.0%	24.1	10.6	0.9	26.2
2.5%	28.9	15.1	4.8	30.9
2.0%	33.8	19.8	9.0	35.8
1.5%	38.9	24.7	13.4	40.9
1.0%	44.2	29.9	18.2	46.2
0.5%	49.7	35.2	23.2	51.6
0.0%	55.4	40.8	28.5	57.3

Source: Bloomberg, Standard Chartered; *annualised total returns, with dotted lines showing current yield levels; ^Index: 100 = 1 October, 2025

Relative 12-month performance of S&500, S&P400 & S&P600^



Editorial

Opportunities from the bond sell-off

Strategy summary: The global bond sell-off is creating tactical and medium-term opportunities. In the US, September's yield surge has improved the risk-reward in 10-year government bonds, presenting an attractive entry point for investors with a 6-12-month horizon. We believe bond and money markets are overly hawkish about the Fed outlook, given disinflation is likely to return as impact of oil prices and tariffs ease next year.

In equities, we stick to quality, especially sectors riding the AI-led earnings boom. The upcoming Q3 earnings season is likely to show AI-investments are powering sectors beyond the technology and communications services, such as financials, materials and power and electrification. We remain constructive on the semiconductor and memory segments. We also expect the US Dollar to peak in the next few weeks along with short-to-medium-term US bond yields. This creates opportunities for AUD corporate bonds, Emerging Market USD bonds and gold.

Attractive risk-reward in US 10-year government bonds.

The US 10-year bond yield rose more than 50bps in September (biggest monthly rise since 2022) and 115bps this year, amid expectations of economic resilience, higher Fed rates, fuel-driven inflation, AI-related capital demand and fiscal concerns. Valuations appear close to fair value, improving the 6-12-month risk-reward. Bond arithmetic suggests losses of less than 1% if the yield rises to 6%, vs. more than 10% gains if it falls to 4.5%.

Resilient US economic activity, but softer-than-expected inflation.

September data showed robust US employment (jobless claims, ADP) and core capital-goods orders. However, consumer confidence remains depressed, real disposable income is flat and households are drawing on savings to sustain spending. Against this divided backdrop, core PCE inflation - the Fed's preferred gauge - was softer than expected at 0.2% m/m and 3.0% y/y. A revised method to measure PCE inflation also indicate that annual core PCE inflation was 35bps lower than previously reported, narrowing the gap with CPI inflation.

Markets appear overly hawkish on the Fed. Money markets price about 85bps of tightening over the next 12 months. A strong labour market (September's non-farm payrolls data is due tonight) may justify one or two further hikes, but aggressive tightening after the sharp rise in bond yields - which has already tightened financial conditions - could threaten financial stability. US small- and mid-cap equities have already fallen 8-9% from recent peaks over the past couple of months, materially underperforming large caps, as energy and borrowing-cost concerns intensify. While some Fed speakers remain hawkish, we agree with New York Fed President Williams' that there is no urgency to tighten. We see little chance of an October Fed rate hike and expect inflation data for Sep-Nov determining whether the Fed moves in December.

Stay with quality equities and AI beneficiaries. US large caps have absorbed the rise in bond yields relatively well, supported by expectations of robust earnings growth led by AI-related investment. We continue to favour quality companies and sectors benefiting from this AI cycle. Semiconductors and memory remain preferred exposures: structural AI demand should extend the memory upcycle, while long-term supply agreements provide better revenue visibility. The opportunity is also broadening beyond technology and communication services into financials, materials, power and electrification.

Opportunities in AUD corporate bonds and gold. The USD rebound alongside higher US yields offers a tactical opportunity to add higher-yielding Emerging Market USD and non-USD bonds. We remain positive on AUD corporate bonds, which offer a yield premium over comparable US credit. Our constructive medium-term AUD/USD view could add returns for USD-based investors over the next 6-12 months. We would also use gold's recent pullback to add exposure, supported by sustained Emerging Market central bank demand. We continue to view USD 4,000/oz as important technical support for gold.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

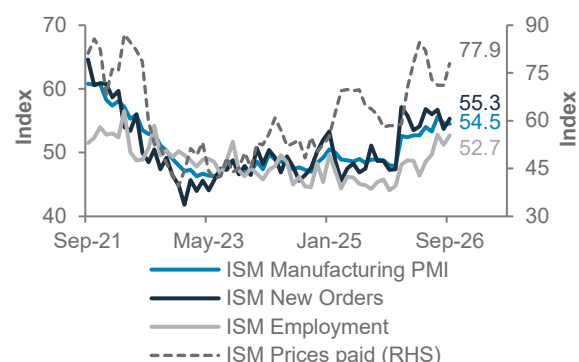
(+) factors: Soft US inflation, China stimulus, easing US-China tensions

(-) factors: Weak US and Euro area sentiment; geopolitical tensions

	Positive for risk assets	Negative for risk assets
Macro data	- US core PCE inflation at 0.2% m/m and 3.0 y/y was softer than expected - China PMI non-manufacturing PMI beat estimates at 50.2 in September, with manufacturing PMI rising to 50.1 as expected - US private sector employment (ADP) beat expectations in September - US ISM manufacturing new orders PMI rose more than expected to 55.3	- US ISM manufacturing PMI dropped unexpectedly to 54.5 in September - US JOLTS job openings fell to 7.08mn in August, missing consensus - US Conference Board consumer confidence index fell unexpectedly to 81.9 in September - Euro area economic confidence fell more than expected in September - China's industrial profit growth slowed to 4.2% y/y in August
	Our assessment: Neutral – Softer US core PCE inflation, robust jobs vs. weak sentiment in the US and Euro area	
Policy developments	- China unveiled targeted policy easing, including a rate cut for policy banks, higher technology relending quotas, and mortgage subsidies - Fed's Williams said there was no urgency for the next Fed rate hike - RBA's guidance was less hawkish than feared	- Fed's Barr, Musalem, Cook, Goolsbee and Kashkari said further rate hikes will be needed amid a robust economy and still-elevated inflation - BoE Governor Bailey warned elevated energy prices could make it harder to keep rates on hold
	Our assessment: Neutral – China stimulus; mixed Fed views	
Other developments	US-China agreed limited tariff relief covering roughly USD30bn of trade in each direction, extending the recent trade truce	US-Iran negotiations remain unresolved, with disagreements over sanctions relief and Hormuz reopening
	Our assessment: Neutral – Easing US-China trade tensions vs. ongoing geopolitical tensions	

US ISM manufacturing PMI fell unexpectedly in September, while prices paid for inputs jumped to 77.9; however, new orders PMI beat expectations

US manufacturing PMI and its components



Source: Bloomberg, Standard Chartered

Euro area economic confidence fell more than expected in September, although industrial sector confidence continued to improve from weak levels

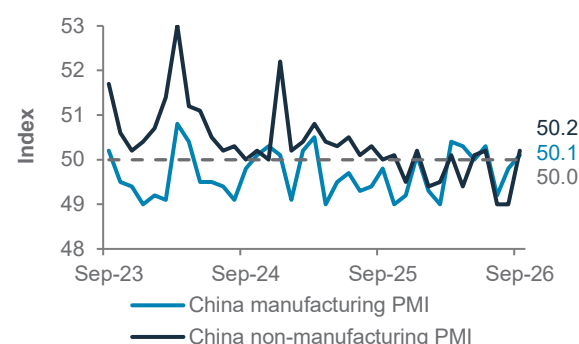
Euro area economic, services and industrial confidence



Source: Bloomberg, Standard Chartered

China's manufacturing and non-manufacturing sector business confidence both rose to expansion territory in September

China manufacturing and non-manufacturing PMIs



Source: Bloomberg, Standard Chartered

Top client questions

Q Do you expect more RBA rate hikes after its less hawkish guidance? What is your view on the AUD and AUD bonds?

Our view: We expect the RBA to leave rates unchanged, but retain the option to hike again should inflation intensify. We maintain our medium-term constructive AUD view and maintain our opportunistically bullish AUD corporate bonds idea.

Rationale: The RBA's forward guidance remains data dependent, explicitly allowing further tightening if needed as inflation remains too high. At 4.60%, Australia's cash rate is currently 60–85bp above the Fed's 3.75–4.00% range. Thus, even with our two additional 25bps Fed hikes expectation, Australian rates would hold a modest positive rate differential. We expect the AUD to strengthen once the Fed signals that US rates are near their peak, which should allow resilient Australian fundamentals to reassert themselves. Key risks are persistently high US yields, weaker China growth or a sharper deterioration in global risk sentiment.

We believe risk-reward has become more attractive for AUD bonds following the bear-flattening of the AUD yield curve. Markets are already pricing in one more RBA hike through end-2027, presenting an attractive opportunity to earn a yield even as increasingly restrictive financial conditions reinforce disinflation over time. Meanwhile, the positive interest rate differential with the US supports the currency outlook, supporting the case for AUD bonds.

— Vincent Tan, Senior Investment Strategist
— Cedric Lam, Senior Investment Strategist
— Iris Yuen, Investment Strategist

Q What does the incoming US data tell us about the path for US 10-year bond yields from here?

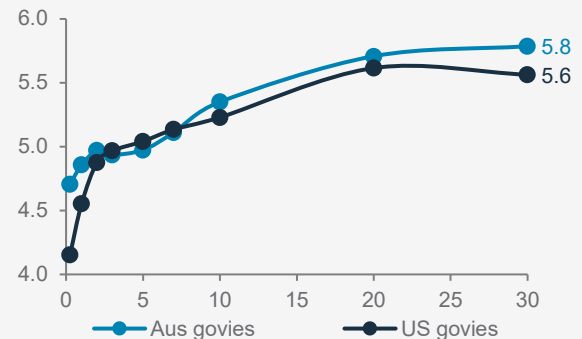
Our view: The risk-reward in US 10-year yields has turned attractive following their move higher amid incoming US data.

Rationale: Recent US data has indeed started to show softer-than-expected inflation. However, market technicals are likely temporarily delaying a move lower in bond yields, with reports suggesting the rise in yields is creating forced selling amongst hedge funds and real estate investment trusts. Nevertheless, we do not expect this to be an extended selloff. We have initiated an opportunistic bullish idea on US 10-year government bonds this week and continue to believe this idea offers an attractive risk/reward on a 6-12-month horizon as yields become attractive enough to entice buyer flow to return. On a broader allocation basis, we retain our structural preference for 3-7-year maturities in bonds.

— Cedric Lam, Senior Investment Strategist

We remain positive on AUD corporate bonds amid Australia-US interest rate differentials and positive outlook for the AUD

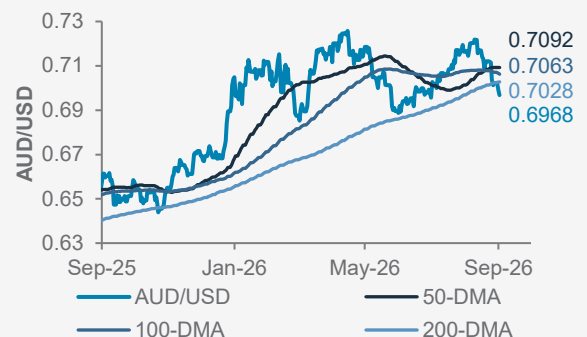
Australian and US government bond yield curves



Source: Bloomberg, Standard Chartered

Australia-US rate differentials expected to support AUD/USD recovery over medium term

AUD/USD and technicals



Source: Bloomberg, Standard Chartered

The nominal US 10-year bond yield has surged to its highest closing high since 2007

US 10-year yields and historical highs



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q How should investors position in the GBP ahead of the UK budget announcement next month?

Our view: *We maintain a medium-term constructive GBP view, but keep near-term exposure measured ahead of the 28 October Budget. We would view any pre-Budget weakness as an opportunity to gradually build GBP exposure.*

Rationale: The government's decision to adjust the pension triple lock from 2030 is an early indication of greater willingness to tackle longer-term spending pressures, reinforcing Chancellor Healey's commitment to fiscal discipline and meeting the fiscal rules. Markets are likely to scrutinise the Budget closely for evidence that this discipline extends to near-term tax and spending decisions. A credible Budget should help contain pressure on UK government bond yields and support GBP. Any fiscal slippage remains a key risk.

Near term, we prefer measured GBP exposure as elevated US yields and repricing towards further Fed tightening could continue to support the USD. Over the medium term, we expect GBP to rebound as the Fed eventually signals the peak of its tightening cycle.

— **Vincent Tan**, Senior Investment Strategist
— **Iris Yuen**, Investment Strategist

Q How would different US mid-term election outcome scenarios affect the outlook for US equities?

Our view: *We believe election outcomes will have a limited impact over the next 12 months. We remain positive on US equities driven by fundamental earnings growth.*

Rationale: Over the past 50 years, the ruling US President's party has retained control of both chambers of Congress on only two occasions (1978 and 2002). All other elections resulted in an opposition sweep or a divided government.

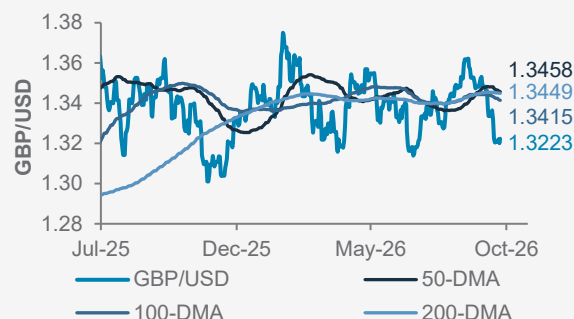
Based on the latest prediction markets, it appears that an opposition sweep (both the House and Senate flips from Republican to Democrats) is more likely than a divided government (in which the House flips to Democrats, while the Senate remains under Republican control). A scenario where Republicans retain a majority is least likely per prediction markets.

While mid-term elections may introduce near-term volatility, we caution against overreaction. Historically, the average return for the S&P 500 following an opposition sweep is 17% over the next 12 months, but the average return following a divided government is not significantly worse, at 15%. We prefer to base our investment views on fundamental earnings growth, where investor attention should focus on the upcoming Q3 earnings season.

— **Jason Wong**, Senior Equity Analyst

GBP/USD's pre-Budget weakness sets an opportunity to gradually build GBP exposure over the medium-term

GBP/USD and technicals



Source: Bloomberg, Standard Chartered

An opposition sweep in the US mid-term elections has historically led to a 17% average increase in the S&P 500 index over the next 12 months

S&P 500 returns over the next 12 months following US mid-term elections

Year	After midterm election	S&P 500 – 12m returns (%)
1978	Retained a majority	12.4
1982	Divided government	25.4
1986	Opposition sweep	4.3
1990	Opposition sweep	29.3
1994	Opposition sweep	30.4
1998	Opposition sweep	23.6
2002	Retained a majority	17.0
2006	Opposition sweep	8.7
2010	Divided government	5.8
2014	Opposition sweep	6.7
2018	Divided government	14.0
2022	Divided government	16.4
Total Average		16.2
Retained a majority		14.7
Divided government		15.4
Opposition sweep		17.2

Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What is the outlook for the memory chip and broader semiconductors industry?

Our view: *We remain positive on semiconductors and memory chips. Structural AI demand should prolong the memory upcycle while long-term agreements improve revenue visibility.*

Rationale: Recent industry commentary points to tighter memory supply-demand conditions through 2028, reinforcing our view that AI demand is likely to extend the memory upcycle. Furthermore, adoption of long-term agreements improves revenue and earnings visibility.

Despite debates around “Pacing the Frontier”, we have seen a flurry of new model releases, along with the introduction of new consumer AI agents capable of comparing prices online and making purchases. These are early days, but the path is open for a business-to-agent (B2A) economy where businesses increasingly interact with AI assistants acting on customers’ behalf. As these applications are increasingly inference intensive, wider adoption should support demand for memory, with its share of global semiconductor revenues projected to rise from 30.7% in 2025 to 66.7% in 2027.

Against this backdrop, we maintain our Opportunistic idea on Global Semiconductors. Given memory chips’ cyclical nature, investors should avoid overconcentration in memory names and maintain a diversified exposure across Big Tech and semiconductors.

— Ryan Goh, Investment Strategist

Q Does a US bond yield stress test raise the risk to your constructive view on US equities?

Our view: *We have a target for the S&P 500 index of 8400 over the next 12 months. A scenario of a sustained rise in the US 10-year government bond yield to 5.6% could lead to negative returns from the current S&P500 level (7,666).*

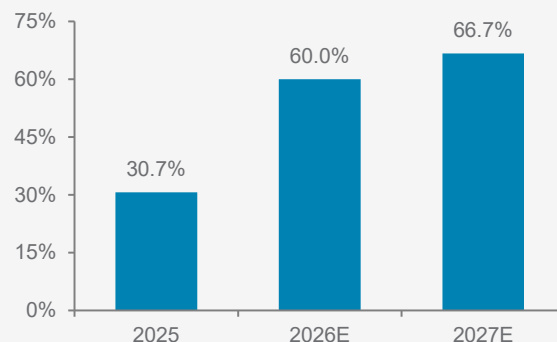
Rationale: Our base case 12-month target for the S&P 500 is 8,400, which assumes 2027 S&P 500 EPS of USD 420 and a 20x forward P/E multiple. A rise in bond yields would have an impact on equity valuations, as a higher discount rate reduces the present value of future earnings. We stress-test our target under different 10-year yield and earnings scenarios.

A rise in bond yields would arguably be associated with a stronger growth environment and hence, even higher earnings. However, assuming unchanged EPS at our base case of USD 420, a (sustained) rise in the 10-year bond yield to 5.6% would lead to negative returns from the current level if not offset by a further improvement in earnings growth. However, in our base case we expect the 10-year yield is more likely to fall from here.

— Fook Hien Yap, Senior Investment Strategist

The memory segment is projected to account for two-thirds of global semiconductor revenues by 2027

Memory as a % of global semiconductor revenues



Source: Company reports, Bloomberg Intelligence, Standard Chartered

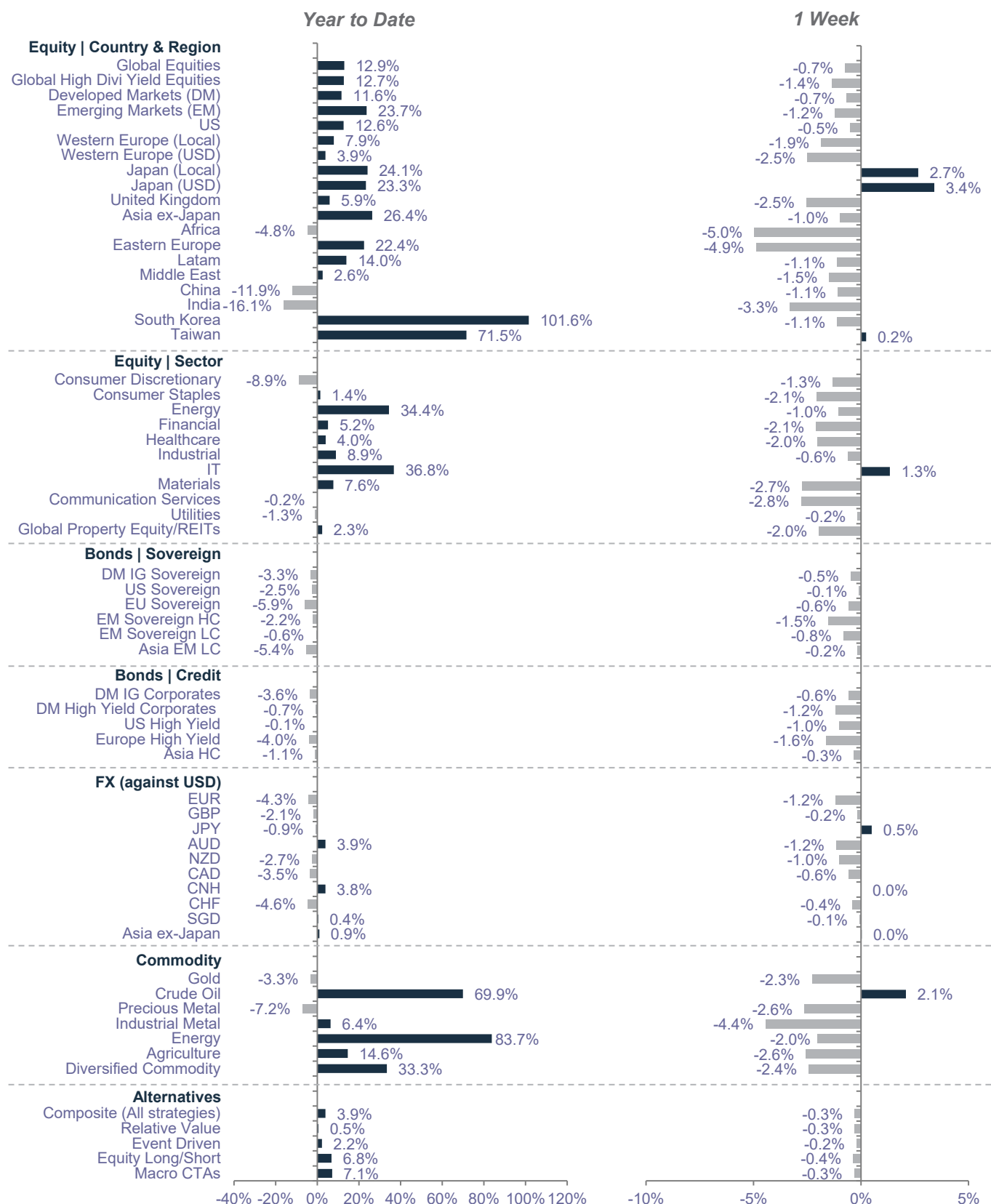
A sustained rise in the US 10-year bond yield to 5.6%, with no change to the earnings view, would raise downside risk to our S&P 500 target

Sensitivity analysis of our 12-month S&P 500 index target

10-year rates	2027E EPS				
	400	410	420	430	440
6.6%	6,080	6,232	6,384	6,536	6,688
6.4%	6,320	6,478	6,636	6,794	6,952
6.2%	6,560	6,724	6,888	7,052	7,216
6.0%	6,800	6,970	7,140	7,310	7,480
5.8%	7,040	7,216	7,392	7,568	7,744
5.6%	7,280	7,462	7,644	7,826	8,008
5.4%	7,520	7,708	7,896	8,084	8,272
5.2%	7,760	7,954	8,148	8,342	8,536
5.0%	8,000	8,200	8,400	8,600	8,800
4.8%	8,240	8,446	8,652	8,858	9,064

Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 1 October 2026; 1-week period: 24 September 2026 to 1 October 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Financials ▲
Asia ex-Japan ▲	US Materials ▲
Japan ◆	Europe ex-UK Financials ▲
Other EM ◆	Europe ex-UK Industrials ▲
	Japan Financials ▲
Bonds ◆	China Technology ▲
Credit	China Financials ▲
Asia USD ◆	China Communication ▲
Corp DM HY ◆	China Materials ▲
Govt EM USD ▲	China Healthcare ▲
Corp DM IG ◆	
Govt	Alternatives ◆
Govt EM Local ◆	
Govt DM IG ▼	Gold ▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,797

Technical indicators for key markets as of 1 Oct close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,666	7,522	7,797	18.9	1.2
STOXX 50	6,175	6,088	6,344	14.5	3.3
FTSE 100	10,428	10,257	10,734	12.0	3.7
TOPIX	4,132	4,000	4,230	16.2	2.3
Shanghai Comp	3,842	3,768	3,956	12.6	3.1
Hang Seng	24,613	23,995	25,511	10.2	3.5
Nifty 50	22,422	21,712	23,638	16.9	1.9
MSCI Asia ex-Japan	1,137	1,104	1,172	9.9	2.5
MSCI EM	1,709	1,667	1,761	9.7	2.9
Crude oil (WTI)	92.9	83.8	104.4	na	na
Gold	4,178	4,022	4,422	na	na
UST 10Y Yield	5.24	4.87	5.48	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EUR	Sentix Investor Confidence	Oct	–	5.1
	EUR	PPI y/y	Aug	–	5.8%
	USD	ISM Services Index	Sep	55.2	55.4
TUE	EUR	Retail Sales y/y	Aug	–	0.6%
	USD	Trade Balance	Aug	-\$83.8b	-\$88.6b
WED	JPY	Labor Cash Earnings y/y	Aug	–	4.7%
	JPY	Real Cash Earnings y/y	Aug	–	2.4%
	INR	RBI Repurchase Rate	7-Oct	5.5%	5.3%
	CNH	Foreign Reserves	Sep	–	\$3438.3b
THU	USD	FOMC Meeting Minutes	16-Sep	–	–
	USD	Initial Jobless Claims	3-Oct	–	–
	USD	Continuing Claims	26-Sep	–	–
FRI/SAT	USD	U. of Mich. Sentiment	Oct P	48.0	48.1
	USD	U. of Mich. 1yr Inflation	Oct P	–	4.6%

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 1 Oct close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.40
Global Equities	●	↑	1.80
Gold	●	↓	1.95
Equity			
MSCI US	●	→	1.65
MSCI Europe	●	→	1.40
MSCI AC AXJ	●	↓	1.85
Fixed Income			
DM Corp Bond	●	↓	1.41
DM High Yield	●	→	1.44
EM USD	●	↓	1.36
EM Local	●	↑	1.90
Asia USD	●	↓	1.47
Currencies			
EUR/USD	●	↓	1.43

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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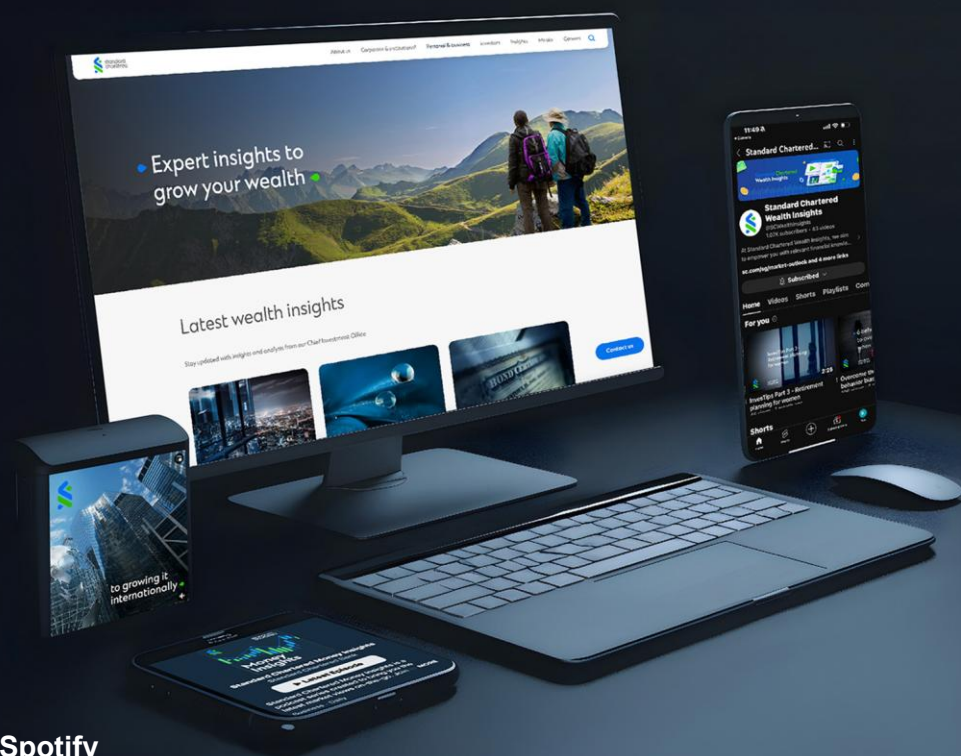
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Weekly Market View

A Fed credibility-induced bounce

→ The Fed's unanimous decision to hike rates this week for the first time since 2023 and pencil in another hike by December confirms our expectations of a central bank willing to establish its independence against political pressure.

→ The BoJ also hiked rates this week. It is the first time on record all three major central banks – Fed, ECB and BoJ – have hiked in the same month, as they respond to a resurgence in energy-driven inflation amid tight job markets.

→ We expect the Fed to hike once more by year-end to 4.25% and follow up with another hike in H1 2027 to 4.5%. With the revised estimates, we revise up our US government bond yield forecasts.

→ Nevertheless, with Fed policy uncertainty easing, we see an opportunity to use the equity market dip to add exposure amid solid corporate earnings.



What is the outlook for US government bond yields following the Fed meeting?

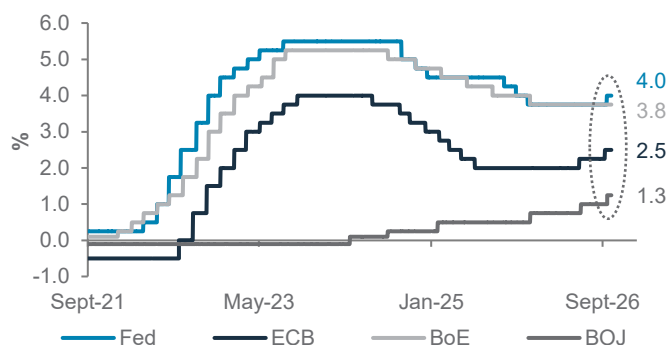
Will the step-up in the Fed's risk-free rate trigger a repricing of equities?

What is the impact of BoJ and BoE policy meetings on their respective currencies?

Charts of the week: Fed joins the fray

The Fed hiked for the first time since 2023, joining its peers, and moderately upgraded its policy rate estimate for this year

Fed, ECB, BoJ and BoE policy rates



Source: Federal Reserve, Bloomberg, Standard Chartered

Fed's updated economic projections

Dates	GDP		Unemployment		Core PCE		Rates estimates	
	Old	New	Old	New	Old	New	Old	New
2026	2.2	2.3	4.3	4.1	3.3	3.4	3.8	4.1
2027	2.3	2.4	4.3	4.1	2.5	2.5	3.6	4.1
2028	2.2	2.2	4.2	4.1	2.1	2.2	3.4	3.9
LR*	2.0	2.0	4.2	4.2			3.1	3.2

Editorial

A Fed credibility-induced bounce

Strategy summary: The Fed's unanimous decision to hike rates this week for the first time since 2023, and pencil in another hike by December, confirms our expectations – flagged in the last two weeklies – of a central bank willing to establish its independence against political pressure. The Fed's moderately hawkish pivot is helping restore its inflation-fighting credentials. The BoJ also hiked rates this week. It is the first time on record all three major central banks – Fed, ECB and BoJ – have hiked in the same month, as they respond primarily to a resurgence in energy-driven inflation amid tight job markets.

We expect the Fed to hike once more by year-end to 4.0-4.25% and follow up with another hike in H1 2027 to 4.25-4.5%. With the revised estimates, we revise up our US government bond yield forecasts. Nevertheless, with Fed policy uncertainty easing, we see an opportunity to use the equity market dip to add exposure amid solid corporate earnings.

Fed moves to restore credibility: The Fed's policy pivot this week followed Chair Warsh's hawkish Jackson Hole speech and recent economic data prints, namely: a pick-up in job creation and inflation over the summer and a sharp rebound in oil prices due to the re-escalation of the Middle East conflict. Given the unanimous Fed decision to hike rates this week, we expect two more hikes by June 2027 on the back of robust growth amid strong AI investments and a tight labour market, keeping inflation elevated. We expect this pivot to help the Fed rebuild credibility as an inflation fighter.

Policy outlook less aggressive than market pricing: The updated Fed policy rate estimates are lower compared with money market pricing of three more rate hikes by June 2027 since we expect disinflation to take hold by Q2 2027 as the impact of oil prices and tariffs fade. We believe policy rates can return to the 4.0-4.25% range by end-2027, with the possibility of cuts in H2 2027 as inflation pressures ease.

Upgrading near-term US rates and USD estimates: Based on these revised estimates, we also upgrade our 3-month target for the US 10-year government bond yield to 5.0-5.25%. We also revise up our 12-month target for the US 10-year bond yield to 4.75-5.0% (see page 4).

Buying the equity dip as focus turns to fundamentals: Fed hikes typically do not hurt equities over the medium-term when accompanied by strong earnings growth. We estimate a 25bps rise in Fed rates (the discount rate) would impact the S&P500 index and global equities by 3-4%. However, we expect the headwind from higher rates to be offset by strong earnings growth, driving positive performance for global equities. Furthermore, a hawkish Fed is largely priced in and we expect the Fed to deliver fewer rate hikes than currently priced by markets. Meanwhile, we believe concerns over AI industry leaders slowing the pace of development are overdone. Hence, we maintain our preference for a diversified group of large cap technology and semiconductor industry leaders (see page 5-6).

BoJ hikes; modestly bullish JPY: The BoJ hiked rates by 25bps to a three-decade high of 1.25%, as expected, but the 7-2 split vote led to renewed JPY weakness on concerns it may slow the pace of further hikes. We remain constructive on JPY amid narrowing rate differential vs peers as the BoJ potentially hikes rates by 25bps once per quarter until Q2 2027 to curb rising domestic wage-driven inflation pressure. Any sign of BoJ slowing the pace of hikes could lead to renewed JPY weakness, fuelling inflationary pressures (see page 7).

BoE holds; rangebound GBP: The BoE held rates this week, bucking the hiking trend among peers, as weakening UK job and housing markets offset rebound in energy-driven inflation. We expect BoE to deliver fewer rate hikes than the 100bps of increase currently priced by markets as the job market slows further. This is likely to keep GBP rangebound (see page 7).

— **Rajat Bhattacharya**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

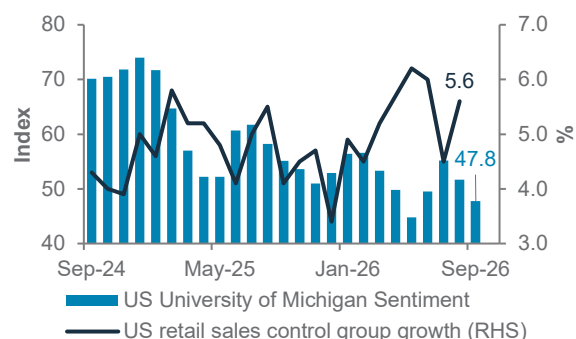
(+) factors: Strong US retail sales; resilient China industrial output

(-) factors: Weak US and Euro area sentiment; hawkish central banks

	Positive for risk assets	Negative for risk assets
Macro data	- US retail sales control group rose 1.4% m/m in August, above estimates - Euro area industrial production fell less than expected by 0.1% m/m - China industrial production beat estimates in August	- US Michigan sentiment fell to 47.8 in September - Euro area ZEW sentiment fell to 25.8 in September - China retail sales and fixed-asset investment came in below consensus in August
	Our assessment: Neutral – Strong Euro area and China industrial production vs. weak US and Euro area sentiment	
Policy developments	BoJ raised its policy rate by 25bps to a three-decade high of 1.25%, as expected. The 7-2 split vote raised the risk of a slower pace of future hikes	- The Fed raised its rate by 25bps in a unanimous 12-0 vote, and projected another hike this year - The BoE held rates unchanged as expected, while the minutes signalled a growing hawkish tilt
	Our assessment: Negative – Hawkish Fed, BoE and BoJ	
Other developments	- US-China discuss tariff concessions to extend trade truce ahead of the leaders' summit on 24 Sep - President Trump said US and Canada will likely announce trade deal soon	- Saudi Arabia temporarily shut down its main East-West crude oil pipeline following a drone attack - Ukraine struck a Russian oil refinery, despite Trump's claim of an energy infrastructure ceasefire - China warned of cancelling summit if US approves new arms sales to Taiwan - AI leaders called for a slowdown in development, but immediately faced intense pushback from the administration
	Our assessment: Negative – Ongoing geopolitical tensions, political pressure on Fed to cut rates	

US retail sales growth accelerated in August; however, the Michigan consumer sentiment index declined more than expected in September

US Michigan consumer sentiment and retail sales control group (core retail sales)



Source: Bloomberg, Standard Chartered

The ZEW survey indicated that Euro area optimism is fading outside of Germany

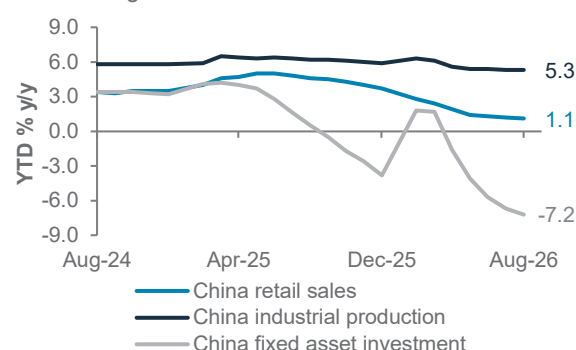
Euro area and Germany ZEW survey expectations



Source: Bloomberg, Standard Chartered

China's retail sales growth was subdued and investment slumped in August

China retail sales, industrial production and fixed asset investment growth



Source: Bloomberg, Standard Chartered

Top client questions

Q Where do you see US government bond yields following the Fed's 16 September decision to hike interest rates?

Our view: *The US 10-year government bond yield is likely to retest the 5.00-5.25% range in the near term. We favour 3-7-year maturity bonds in the US, preferring credit over government bonds. We are looking for an opportunity to extend duration approaching Q2 2027.*

Rationale: Over the next few months, we expect 2- and 30-year US government bond yields to remain rangebound, but the 10-year yield is expected to rebound up to the 5.00-5.25% range. The reasons for this include: **1) oil prices** staying elevated and potentially rise further due to the fluid geopolitical situation in the **Middle East**, with Saudi Arabia's East-West oil pipeline shut, the Houthis now firmly in control of the Strait of Bab-al-Mandab, the Strait of Hormuz still closed and China returning as a buyer of crude oil in the market; **2) despite notable AI leaders expressing the need to slow AI development, AI capex plans are showing no signs of slowing down, which continues to drive above-trend growth in the economy. This, in turn, also means AI-related heavy bond issuance is expected to continue. These issuers typically issue long-dated tenors, and this competition for capital will also exert upward pressure on the US 10-year yields.**

We note that **the US 10-year bond yield has room to move lower**, driven by short-covering activities in the very near term as net-short positions had moved to extreme levels before this week's Fed meeting. However, we think such downshifts would be **short-lived** and the central tendency for the 10-year yield would be to move back up to the **5.00-5.25%** range.

Meanwhile, we see US 30-year yields continuing to reflect the **dire fiscal outlook** for the US government. We expect US 2-year yields to continue trading in a range that reflects expectations of further federal funds rate hikes. For the record, **we only expect two more rate hikes from the Fed into the middle of 2027**, while money markets are pricing in three more for the same period.

Going into H2 2027, **we expect oil prices to moderate** (either through a resolution of the Middle East conflict or a re-routing of oil supply chains) and the **inflationary effects from tariffs to fade**. Inflation by then is likely to be close to – if not at – the Fed's target of 2%. At this point, we see **room for the Fed to contemplate rate cuts**. US 2-year yields (the tenor that is most sensitive to Fed policy changes) will likely start to price this in. With oil prices and inflation cooling, 10-year yields would also have room to come down.

US 30-year yields, on the other hand, are expected to remain elevated as the **US fiscal deficit** remains substantial next year and could become much worse than its already dire state today. As a result, the 'term premium' may keep the ultra-long end elevated. Short of some unorthodox policy to artificially cap them lower, 30-year yields could continue to drift higher into H2 2027.

We continue to favour the **3-7-year segment** of the yield curve and **prefer credit over government bonds**. We see an opportunity for us to extend duration closer to Q2 2027.

— **Jonathan Liang, CFA**, CIO for Fixed Income and FX

We have updated our three- and 12-month outlook for US government bond yields

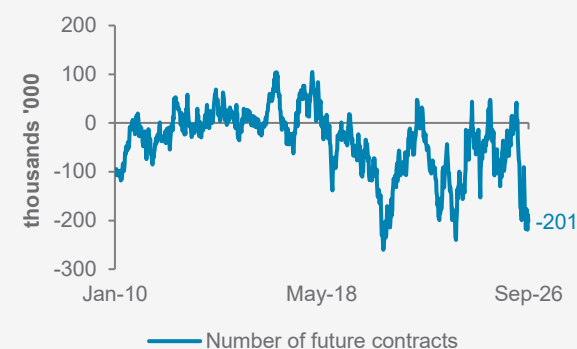
Our latest US government bond yield forecast

	3-month	12-month
2-year	4.50 – 4.75%	4.00 – 4.25%
10-year	5.00 – 5.25%	4.75 – 5.00%
30-year	5.25 – 5.50%	5.50 – 5.75%

Source: Standard Chartered

Short-covering trades could move bond yields lower temporarily as net-short positions in US government bond futures have reached extreme levels this week

Bloomberg Commodity Futures Trading Commission
Chicago Board of Trade US government bond net non-commercial futures positions



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Will the step-up in the Fed's risk-free rate trigger a repricing of equities?

Our view: We expect strong corporate earnings growth to offset the headwind of higher rates, driving positive performance for global equities. We remain Overweight global equities.

Rationale: The Fed's latest 25bps rate hike had been anticipated by the bond market, partly reflected in the bond yield rise we have seen so far in 2026. Using the US 10-year government bond yield as a proxy for the risk-free rate, the yield has risen by 80-85bps this year. We estimate that each 25bps rise in the discount rate presents a valuation drag on global equities. On this basis, the rise in yields represents a potential 10-14% headwind for equities this year.

However, the Fed's hike reflects a solid expansion of US economic activity, resilient domestic spending and robust capital investment. This is consistent with the positive earnings revisions we have seen this year, with 2026 earnings growth projections now at 34% (and 16% for 2027). Global equities are up 14% year-to-date (YTD), but even with a 14% valuation headwind from higher yields, we believe they can rise further, given strong earnings growth in 2026 and 2027.

— Fook Hien Yap, Senior Investment Strategist

Q What is the outlook for the US 10-year government bond yield? What is your tactical view on the DXY?

Our view: We raise our three-month US 10-year government bond yield forecast to the 5.00-5.25% range. Meanwhile, we see a near-term upward bias in the DXY after its recent downtrend, supported by recent Fed tightening and higher short-term US bond yields.

Rationale: The Fed's decision to raise the target range for the federal funds rate by 25bps to 3.75-4.00% validates the upside policy risks we flagged recently, following Fed Chair Warsh's Jackson Hole speech and a run of firmer US economic data. We expect growth to remain robust, the labour market to remain tight and inflation to stay elevated, supporting one more hike before year-end 2026 and potentially another in H1 2027 – fewer than the three additional hikes currently priced in by money markets. For the US 10-year government bond yield, further policy tightening and lingering US fiscal concerns should keep yields elevated, but the Fed's visible response to inflation should limit additional upward pressure, leaving the 10-year yield holding around the 5.00-5.25% range.

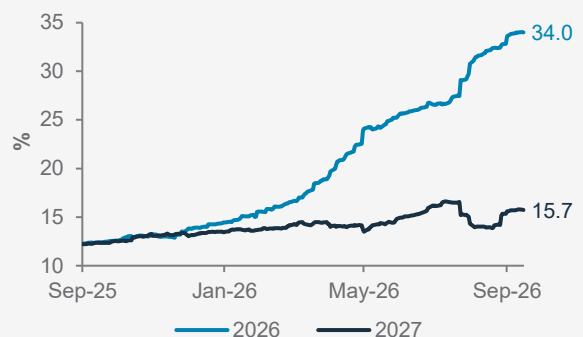
Crucially, Warsh provided no forward guidance on further rate hikes. Markets had already priced in substantial additional rate hikes ahead of the Fed meeting, reducing the scope for further USD upside purely from rate repricing. Meanwhile, we expect further policy tightening from the ECB and the BoJ, while the RBA also remains biased towards further tightening. This should gradually narrow the US rate advantage and limit the extent of a DXY rebound.

— Vincent Tan, Senior Investment Strategist

— Anthony Naab, CFA, Investment Strategist

Global equities' earnings growth estimates have been revised higher this year, offsetting the headwind from higher rates

Evolution of consensus 2026 and 2027 earnings growth for the MSCI AC World Index (MSCI ACWI)



Source: FactSet, Standard Chartered

The US Dollar Index (DXY) remains closely linked to US front-end rate expectations

The DXY tracks US 2-year government bond yields



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q How should investors position in technology as AI lab CEOs call for a slowdown in frontier AI model development?

Our view: We believe concerns over “pacing the frontier” are overdone. We maintain our preference to remain invested in and diversified across Big Tech and semiconductor leaders.

Rationale: We believe it is prudent for investors to **avoid overreacting** to the recent calls for a slowdown in frontier AI model development, as they focus on **responsible AI development**, rather than halting AI model development or reducing spending. The global AI leadership race, reinforced by **the US and China’s strategic ambitions**, also makes a coordinated slowdown unlikely.

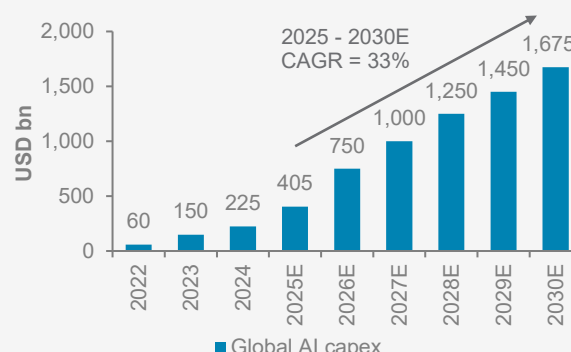
While the near-term narrative may shift from AI training beneficiaries towards **inference plays**, hyperscalers continue to signal strong AI infrastructure commitments and improving monetisation, supporting our AI capex outlook. **Rising AI adoption and agentic use cases** should sustain inference demand, even if training activity moderates, benefiting custom AI chips, NAND flash memory and hyperscalers.

We believe **the decline in valuations** this year more than compensates for any downside risk to AI capex. Our **Opportunistic idea on Global Semiconductors** further reflects our conviction, with attractive valuations supporting selective additions during volatility.

— **Ryan Goh**, Investment Strategist

Our AI capex estimates are 15-20% below consensus expectations to account for execution risks

Global AI capex is expected to register a CAGR of 33% over 2025-30



Source: Company reports, Standard Chartered

Q With ASEAN and UK equities outperforming AI-focused markets in H2 2026, is it worth adding to these markets?

Our view: ASEAN and UK equities offer portfolio diversification, but we are Underweight both markets in favour of US and Asia ex-Japan (AxJ) equities, given their stronger earnings potential.

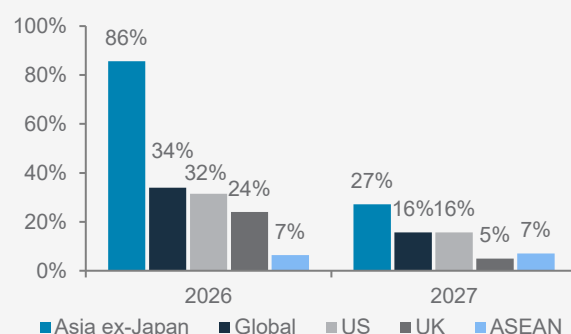
Rationale: The ASEAN and UK markets have outperformed the MSCI ACWI over the past three months, but both have **underperformed** on a YTD basis. **Financials** is the largest sector in the ASEAN (53%) and the UK (28%) and provides steady earnings. However, both markets have minimal exposure to **the technology sector** (just 3% and 1%, respectively), ultimately dragging down growth. Hence, while defensive markets offer value by increasing diversification and reducing volatility in a portfolio, we maintain our **Underweight allocation for ASEAN and the UK**, as we see much stronger earnings potential elsewhere in the US and AxJ markets.

We remain **Overweight US and AxJ**, supported by robust earnings growth, as AI still has the potential to become a major economic growth driver. Our **12-month S&P500 Index forecast of 8,400** implies low-teens upside, supported by a strong earnings backdrop of **25-30% earnings-per-share growth for 2026 and 15-20% for 2027**. AxJ also boasts the strongest earnings growth among major markets, fuelled by the AI semiconductor super-cycle.

— **Cindy Lam**, CFA, Senior Investment Strategist

Our Overweight views on AxJ and US equities are supported by robust earnings growth

Consensus 2026 and 2027 earnings growth estimates for MSCI equity indices



Source: FactSet, Standard Chartered

Top client questions (cont'd)

Q Why is it still appropriate to have a positive stance on US high-yield (HY) bonds?

Our view: *We remain opportunistically bullish on US HY bonds. Lower sensitivity to interest rate volatility, a below-trend default rate and a maturity wall pushed out to 2028-29 drive this view.*

Rationale: Recent interest rate volatility has highlighted a key structural advantage of US HY bonds: their **higher coupon rates** and **shorter tenors** relative to Developed Market (DM) government bonds and US investment-grade (IG) corporate bonds translate into a **much lower sensitivity to interest rates**, cushioning bond prices during yield backup episodes, where bond yields rise sharply.

YTD, US HY has delivered **1.8% in total returns**, outperforming DM government bonds and US IG corporate bonds by over 3% each on a relative basis. This outperformance was particularly evident during the recent back-up in bond yields, as inflation concerns re-emerged after **renewed Middle East tensions** – an environment where HY's lower rate sensitivity provided a relative cushion even as broader fixed income markets came under pressure in absolute terms. On the fundamentals side, **US HY corporate credit quality remains resilient**. Default rates continue to track below long-run trend levels, and the maturity wall has been pushed out to 2028-29, reducing near-term refinancing risk. Against a non-recessionary macro backdrop, we expect these credit fundamentals to hold, supporting the case for **continued opportunistic exposure** to the asset class.

— Ray Heung, Senior Investment Strategist

Q Do the latest BoJ and BoE meetings alter your view on the central banks' rate paths and their corresponding currencies?

Our view: *We remain constructive on the JPY and expect two BoJ rate hikes this year and potentially one hike per quarter in H1 2027 as policy normalisation continues. Meanwhile, the BoE held rates at 3.75%. We expect GBP/USD to stay rangebound within 1.32-1.36 over the next 1-3 months, with downside risk towards the lower end of our medium-term 1.30-1.36 range.*

Rationale: Persistent inflation, higher energy prices and earlier JPY weakness support **further BoJ policy normalisation**. Continued hiking should progressively narrow the US-Japan rate gap, reduce the attractiveness of JPY-funded carry trades and support the JPY over the medium term towards the 153-155 range. However, with a September hike largely priced in, future tightening's pace will be more important for the JPY. Meanwhile, the BoE was **split 6-3 in its decision to hold rates at 3.75%**, with three members preferring a 25bps hike, signalling elevated inflation risks. However, a **weaker labour market** is likely to limit the pace of BoE tightening. The US-UK rate divergence is expected to favour the USD over the next 1-3 months. Further BoE tightening (if inflation remains elevated) could narrow the rate gap and provide support to the GBP later in the cycle.

— Vincent Tan, Senior Investment Strategist

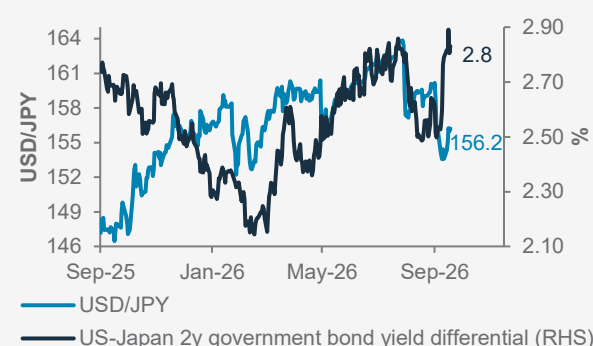
We expect US HY bonds to continue delivering strong performance in the near term

Total returns: US HY corporate, US IG corporate and DM government bond indices



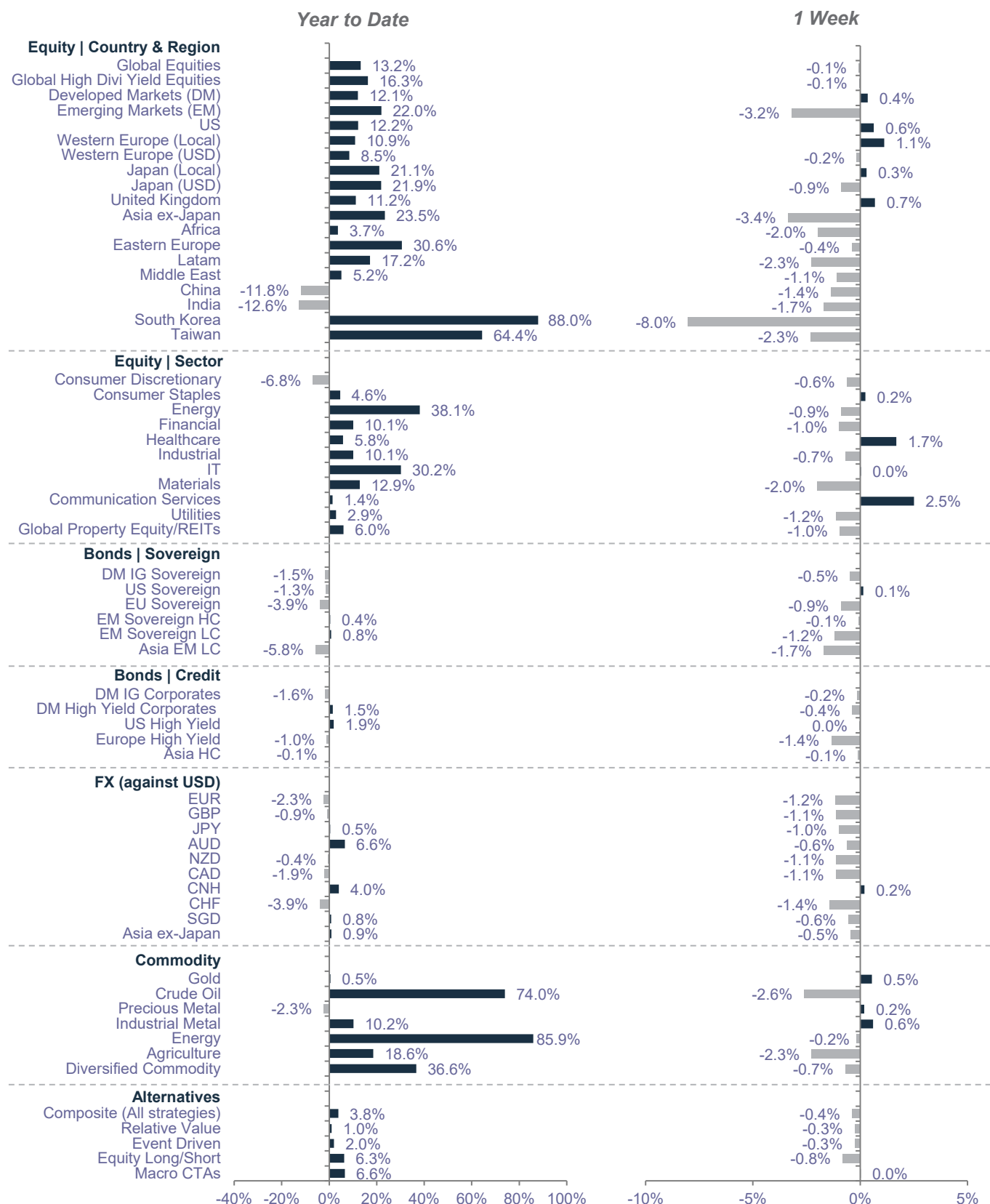
Source: Bloomberg, Standard Chartered

USD/JPY vs. US-Japan 2-year government bond yield differential



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 17 September 2026; 1-week period: 10 September 2026 to 17 September 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Financials ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
Bonds ◆	China Technology ▲
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,770

Technical indicators for key markets as of 17 Sep close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,638	7,507	7,770	19.1	1.2
STOXX 50	6,323	6,172	6,496	14.8	3.2
FTSE 100	10,816	10,628	10,962	12.8	3.5
TOPIX	4,094	3,975	4,205	16.1	2.3
Shanghai Comp	3,876	3,814	3,966	12.7	3.1
Hang Seng	24,604	23,972	25,623	10.3	3.5
Nifty 50	23,271	22,798	24,061	17.4	1.9
MSCI Asia ex-Japan	1,113	1,085	1,156	9.8	2.5
MSCI EM	1,688	1,643	1,751	9.6	3.1
Crude oil (WTI)	101.9	85.4	112.6	na	na
Gold	4,342	4,153	4,614	na	na
UST 10Y Yield	4.93	4.68	5.11	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market Event		Period	Expected	Prior
MON	USD	Chicago Fed Nat Activity Index	Aug	-0.06	-0.08
TUE	USD	Richmond Fed Manufact. Index	Sep	–	4.0
	EUR	Consumer Confidence	Sep P	–	-15.5
WED	EUR	S&P Global Eurozone Manufacturing PMI	Sep P	–	52.7
	EUR	S&P Global Eurozone Services PMI	Sep P	–	51.6
	USD	S&P Global US Manufacturing PMI	Sep P	–	53.9
	USD	S&P Global US Services PMI	Sep P	–	56.5
	JPY	S&P Global Japan Manufacturing PMI	Sep P	–	54.9
THU	JPY	S&P Global Japan Services PMI	Sep P	–	52.5
	CHF	SNB Policy Rate	24-Sep	0.0%	0.0%
	EUR	IFO Business Climate	Sep	–	88.8
	USD	New Home Sales	Aug	615k	607k
FRI/SAT	EUR	GfK Consumer Confidence	Oct	–	-26.6
	USD	Durable Goods Orders	Aug P	-0.3%	1.1%

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 17 Sep close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.51
Global Equities	●	↑	1.90
Gold	●	↑	1.76
Equity			
MSCI US	●	↑	1.70
MSCI Europe	●	↑	1.83
MSCI AC AXJ	●	↓	1.60
Fixed Income			
DM Corp Bond	●	↓	1.54
DM High Yield	●	↑	2.00
EM USD	●	↓	1.54
EM Local	●	↓	1.71
Asia USD	●	↓	1.64
Currencies			
EUR/USD	●	↑	1.98

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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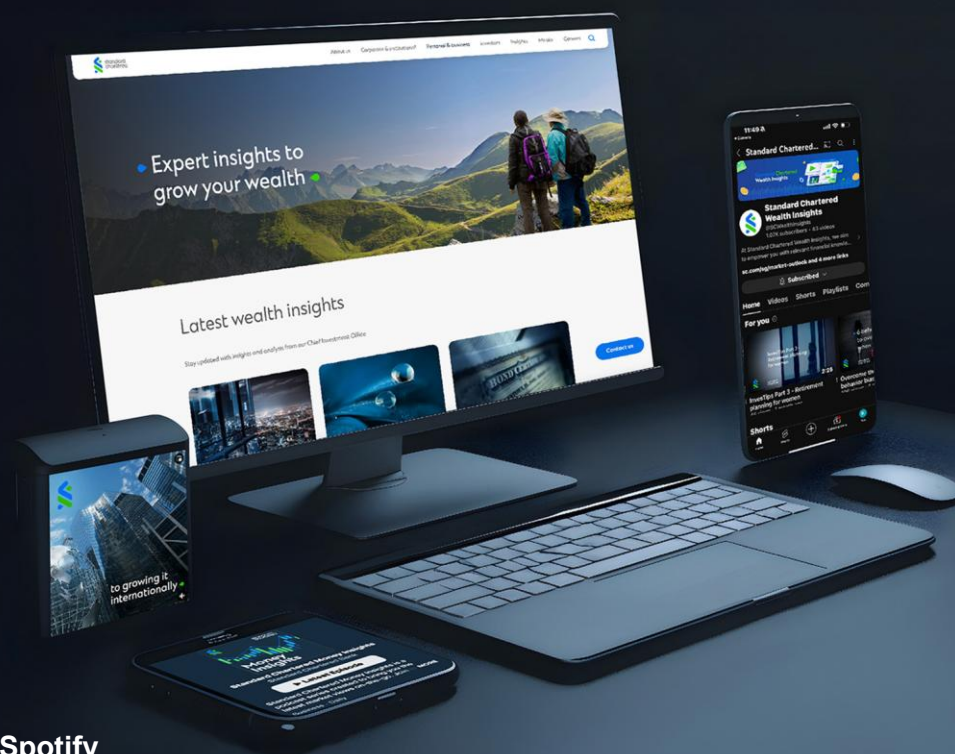
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Weekly Market View

Inching towards a Fed 'credibility' hike

→ August's strong US jobs and producer inflation reports mean the Fed is likely to hike next week or risk its credibility.

→ However, a rate rise is unlikely to be the start of a hiking cycle. While higher oil prices fuel near-term inflation, driving bond yields to multi-year highs, we see inflation easing next year as the impact of tariffs and oil prices fades.

→ There remains a residual risk that the Fed could be reluctant to hike rates next week, possibly due to pressure from the Trump administration. Any such hesitancy could lead to a short-term sell-off in equities and bonds as investors increasingly question the Fed's independence.

→ We would use any market volatility to add equities, given the robust earnings outlook, and increase bond maturities to 3-7 years.

→ Regardless of the Fed decision, we are adding semiconductor equities as an opportunistic idea.

Do you see any opportunities as rising memory chip prices are passed on to consumers?

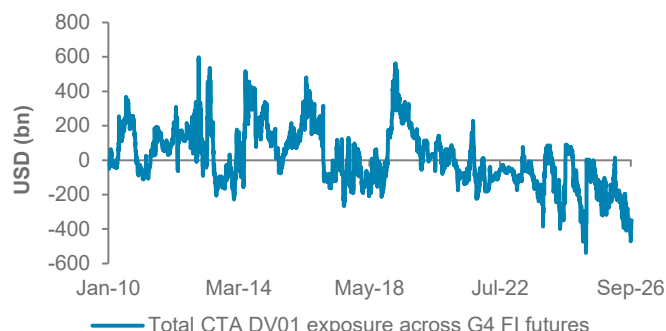
Does the latest ECB meeting change your outlook on policy rates?

What is the outlook for EUR, GBP, JPY amid the latest and upcoming policy meetings?

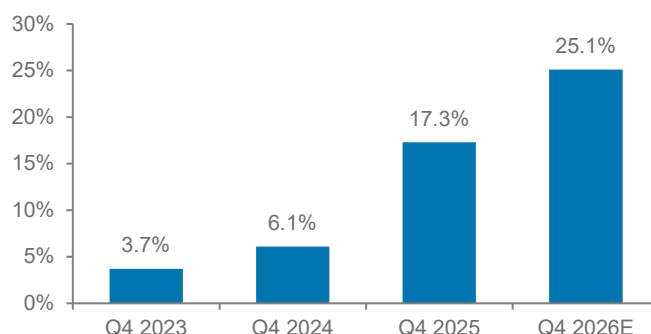
Charts of the week: Extremely bearish bond positions

Bond investor positioning extremely bearish, should limit yield spike; AI super-cycle gives structural support for equities

Managed futures positioning in US, Germany, Japan, UK bonds



AI adoption rates in the US



Source: Vanda Research, US Census Bureau, Bloomberg, Standard Chartered

Editorial

Inching towards a Fed ‘credibility’ hike

Strategy summary: August’s strong US jobs and producer inflation reports mean the Fed is most likely to hike next week or risk its credibility. However, a rate rise is unlikely to be the start of a hiking cycle. While higher oil prices fuel near-term inflation, driving bond yields to multi-year highs, we see inflation easing next year as the impact of tariffs and oil prices fades.

There remains a residual risk that the Fed could be reluctant to hike rates next week, possibly due to pressure from the Trump administration. Any such hesitancy could lead to a short-term sell-off in equities and bonds as investors increasingly question the Fed’s independence. We would use any market volatility to add equities, given the robust earnings outlook, and increase bond maturities to 3-7 years. Regardless of the Fed decision, we are adding semiconductor equities as an opportunistic idea.

A resilient job market. Last week, we said the chance of a Fed rate hike has risen above 50% after Chair Warsh’s hawkish Jackson Hole speech. The two remaining requirements that would secure a hike would be: i) a robust jobs report for August, followed by ii) an inflation report showing core inflation at or above 0.2% m/m. The first requirement has been met – the US economy added 162,000 jobs in August, almost triple consensus estimates, with prior two months revised higher.

Although around 60% of the job gains were in only two sectors – leisure & hospitality and government – and average hourly earnings continued its slide to a five-year low of 3.1% y/y, the crucial unemployment rate remained steady at 4.1% as labour force participation rate rose. The unemployment rate suggests the US economy is running at full employment. Meanwhile, US headline and core producer inflation accelerated in August.

Inching towards a Fed ‘credibility’ hike: A 25bps Fed hike next week now looks most likely. The only caveat to this outlook would be an underwhelmingly soft inflation report for August due tonight. With Fed Chair Warsh already characterising the current US policy rate of 3.75% as not restrictive, any failure to

hike, due to pressure from the administration, would hurt the Fed’s credibility, impacting equities and bonds. The US 10-year yield surged this week 19bps to a three-year high of 4.97%.

Extremely bearish positioning to limit bond yield upside:

The US 10-year bond yield faces a major resistance level – 2023 high of 5.02%. Moreover, investor positioning is extremely bearish (CTA short positions at record). Also, current yields are uncomfortably close to the “Trump put” levels. Authorities have several regulatory and bond supply and liquidity management tools to cap yields, at least in the near term. This implies limited scope for further upside in medium-to-long-term yields.

Key risks: i) if the Fed holds next week, we see further near-term sell-off on doubts about the Fed’s independence, with the 10-year yield breaking above 5.02% briefly. ii) further oil spike. However, extreme positioning should still limit any bond yield upside. As such, **we see the yield rise as an opportunity to raise maturity of bond allocations to 3-7 years, preferring corporate bonds.** Longer-maturity bonds remain vulnerable to oil-driven inflation expectation and fiscal risks.

Adding one more ECB rate hike after hawkish outlook: The ECB raised its deposit rate 25bps to 2.5%, as expected, and upgraded its growth and inflation forecasts for the coming years, citing a resilient economy and higher energy prices. President Lagarde was decidedly hawkish, while declining to commit to another hike. The upgraded inflation forecasts, Lagarde’s comments and recent surge in gas prices lead us to add one more 25bps rate hike by year end (see page 8).

Tactically adding semiconductor equities; using volatility to buy on dips: This week’s softness in equity markets was mainly driven higher oil prices and bond yields. We would use any volatility to add equities, especially in the US and Asia-ex-Japan, where the corporate earnings outlook remains robust. In fact, we are using the weakness in semiconductor equities to add tactical exposure (see page 4 for more details).

— **Rajat Bhattacharya**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

(+) factors: Stronger Euro area sentiment, dovish RBA

(-) factors: Hawkish ECB, Middle East geopolitical tensions

	Positive for risk assets	Negative for risk assets
Macro data	- Euro area Sentix Investor Confidence rose unexpectedly to 5.1 in September - China consumer price inflation was in line with estimates at 0.8% y/y	- US headline and core producer inflation accelerated to 5.4% and 4.6% y/y, respectively - US NFIB small business optimism index fell to 98.7 in August, below estimates - China import and export growth missed estimates at 28.2% and 25% y/y, respectively, in August - China producer price inflation rose by 3.8% y/y in August, above estimates
	Our assessment: Neutral – Stronger Euro area sentiment vs. softer-than-expected US business optimism and weak China trade activity	
Policy developments	RBA Deputy Governor Hauser and Assistant Governor Hunter both signaled uncertainty on further rate hikes	ECB raised its key interest rates by 25 bps as expected and hints at hike in subsequent meeting
	Our assessment: Neutral – Hawkish ECB, Dovish RBA	
Other developments	Iran reportedly nearing a deal with Oman to manage shipping through Strait of Hormuz	- President Trump intensified pressure on the Fed Reserve to cut rates, threatening trade restrictions against economies with which the US runs a deficit if the Fed did not act - US and Iran trade attacks in Middle East conflict; Houthis attacked Saudi energy infrastructure
	Our assessment: Negative – Ongoing geopolitical tensions, political pressure on Fed to cut rates	

US small business optimism, hiring plans and inflation expectations appear to have peaked lately

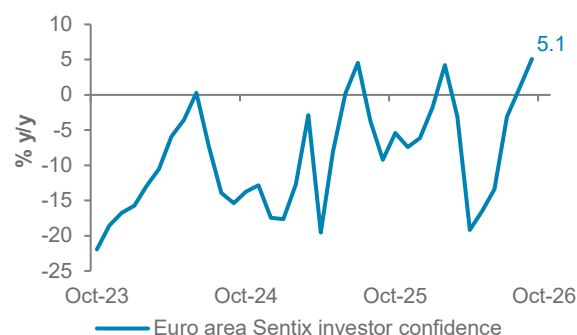
US small business optimism index; indices for hiring plans and 'inflation single-most important problem'



Source: Bloomberg, Standard Chartered

Euro area investor confidence has picked up lately

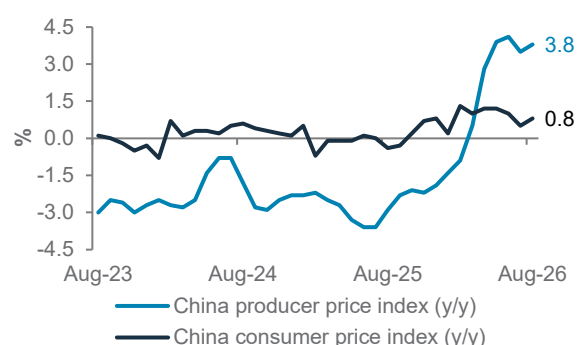
Euro area Sentix Investor Confidence



Source: Bloomberg, Standard Chartered

China's producer inflation remained elevated due to imported commodity prices, but consumer inflation remained subdued

China's producer and consumer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

Q Do you see any opportunities for investors as rising memory chip prices are passed on to consumers?

Our view: *Within technology, we prefer semiconductors over hardware. We are initiating an Opportunistic idea on global semiconductors on the back of sustained AI infrastructure spend and attractive valuations.*

Rationale: Rising memory costs have contributed to **higher PC and smartphone prices**, yet hardware manufacturers have been unable to fully pass these costs on to consumers, resulting in **continued margin pressure**. In contrast, memory fundamentals remain supported by tight supply conditions and long-term agreements. That said, memory remains inherently cyclical and volatile, and investors should **right-size their exposure** to the industry appropriately.

Looking more broadly at semiconductors, earnings growth continues to be supported by ongoing AI infrastructure spend and **broadening AI adoption**, with US AI adoption expected to reach 25.1% in Q4. The results season reaffirmed strong demand trends for semiconductors, while guidance points to **persistent tightness in supply**. The industry trades at around 16x forward earnings, below its five-year average of around 20x, despite the strong growth outlook. We view the pullback in valuations as an **attractive entry point** and initiate an Opportunistic idea on global semiconductors.

— **Ryan Goh**, Investment Strategist

Q Does debt-funded AI capex pose a downgrade risk for hyperscalers? Does it create a material overhang for Developed Market (DM) investment-grade (IG) corporate bonds?

Our view: *Rating agencies do not assess credit quality on leverage metrics alone; they look through the business cycle. DM IG corporate bond spreads could disperse across sectors.*

Rationale: The picture is mixed across hyperscalers, but the trend uniformly points to **tighter credit headroom**. Rating agencies do not assess credit quality on leverage metrics alone. Rather, they look through the business cycle, weighing capex intensity against earnings trajectory and demand durability over a multi-year horizon.

Currently, leading rating agencies **expect hyperscaler leverage to peak around 2027**, followed by deleveraging as capex subsidies and earnings continue growing. That said, the **downgrade risk could rise** if deleveraging is delayed, demand weakens or idiosyncratic issues emerge, such as the use of unconventional, off-balance-sheet circular financing structures that obscure true leverage.

For **DM IG corporate bonds**, the bias is broadly negative, driven by **supply indigestion** from heavy AI-related issuance, downgrade risk and index concentration distortion as a few large issuers dominate benchmark weightings. However, **we do not expect a uniform sell-off**. Spreads could disperse across sectors, with **AI capex-heavy sectors** most likely to stay structurally wide.

— **Cedric Lam**, Senior Investment Strategist

Global semiconductor valuations have become more attractive amid continued AI-driven earnings growth

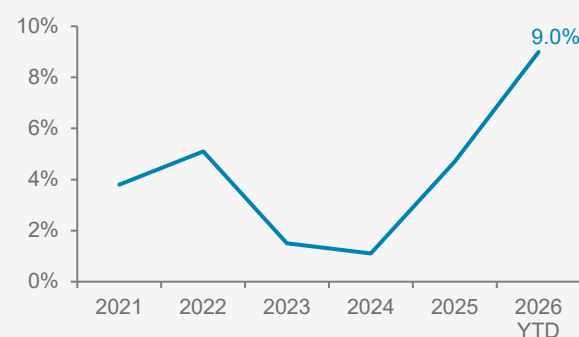
Global semiconductors 12-month forward price-to-earnings (P/E) ratio



Source: Bloomberg, Standard Chartered

Hyperscalers' bond issuance represents a growing proportion of US IG bonds

Percentage of hyperscalers' bond issuance against US IG bonds



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Will long-dated US government bond yields rise further following the US Treasury's first expanded bond buyback?

Our view: *The bond buyback should flatten the US yield curve, but is unlikely to mark a structural shift. Given higher yields, we cautiously extend duration and favour the 3-7-year segment.*

Rationale: The US Treasury said it will purchase up to **USD 6bn of longer-dated government debt** in the first operation under an expanded buyback programme. However, **bond markets remain underwhelmed**, with investors viewing the scale of repurchases as insufficient relative to broader market expectations and the sheer volume of outstanding long-term debt. As a result, **yields have continued their upward trajectory**, with the US 10-year yield hitting a three-year high near 4.96% and the 30-year yield rising to 5.37%, suggesting markets are not yet convinced that the buyback will materially shift the supply-demand balance for long-duration debt.

Mechanically, funding long-end purchases via increased Treasury-bill issuance introduces a flattening impulse to the yield curve. Still, we view this as a **liquidity management tool rather than a structural pivot**. We, therefore, do not expect it to be the dominant catalyst for a significant or sustained decline in long-term yields.

Compounding matters, **crude oil prices** breaching USD 100/bbl will revive inflation concerns, likely reinforcing a **'higher-for-longer' policy stance** and offsetting the buyback's marginal relief. Against, this backdrop, we advocate maintaining a defensive duration posture. Given higher yields, we **cautiously extend duration** and favour the **3-7 year maturity** bucket as inflation risks and heavy debt supply are keeping upward pressure on long-term yields near term.

— Cedric Lam, Senior Investment Strategist

Q Where is the RBA headed on interest rates, and what does it mean for the AUD and AUD bonds?

Our view: *We see a rising probability of a September RBA rate hike, but a second hike in November is not our base case.*

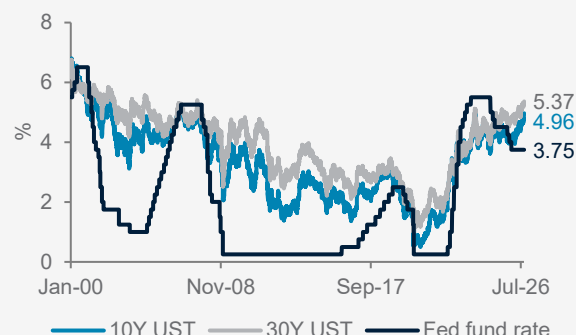
Rationale: The RBA remains **focused on inflation**, having already hiked its policy rate three times in 2026 – the most of any G7 central bank. Beyond a stronger-than-expected July CPI print, strong business investment and a tight labour market continue to reinforce the case for further tightening. A **further hike** is now more likely than we previously expected, but back-to-back hikes is not our base case.

Meanwhile, **AUD/USD** has risen to the 0.72 level, and the **Australia 10-year government bond yield has climbed over 70bps** over the past six months, with the move accelerating sharply since late August as rate-hike expectations surged. We expect both the AUD and bond yields to remain within their recent range, as the **hawkish policy shift has largely already been priced** in by markets.

— Cedric Lam, Senior Investment Strategist

US government bond yields have approached multi-year highs

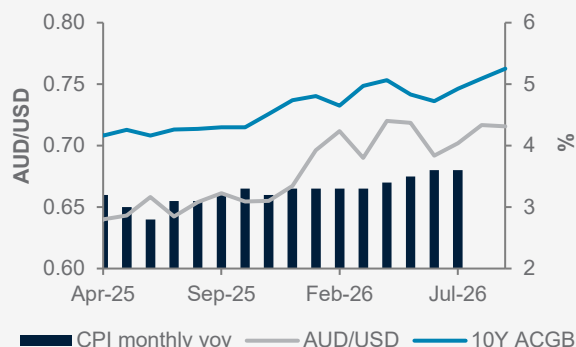
US government bond yield curve (%)



Source: Bloomberg, Standard Chartered

We expect the AUD and the Australia 10-year government bond yield to remain rangebound, as the hawkish RBA policy shift is largely priced in

Australia monthly CPI y/y, AUD/USD and Australia 10-year government bond yield



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q How does the JPY appreciation affect your view on Japan equities and key sectors?

Our view: *Japan equities remain a Core holding, with Japan financials as our preferred sector.*

Rationale: The JPY appreciation sharpens the **earnings divergence** between domestically oriented sectors and exporters, given the significant share of overseas revenues across corporate Japan. Our preferred **financial sector** generates c.60% of its revenue domestically and stands to benefit from ongoing BoJ policy normalisation through wider net interest margins. Other domestic-demand sectors, including **services and construction**, face limited currency-translation headwinds and should benefit from stronger wage growth and improved cost pass-through. Within **technology**, the semiconductor supply chain remains attractive, given Japan's strong global market position and pricing power amid structural AI demand, offsetting the sector's c.78% overseas revenue exposure.

Conversely, **healthcare** has limited domestic offsets to absorb the JPY strength, while it has the highest overseas revenue exposure at c.80%. Similarly, **autos** are vulnerable, facing headwinds from currency appreciation, tariff pressures and intensifying competition.

— **Jason Wong**, Senior Equity Analyst

Q Is there a risk of further oil price rise? How do we hedge it?

Our view: *We forecast WTI oil at USD 90/bbl in three months, but risks are skewed to the upside. US Treasury Inflation-protected Securities (TIPS) remain our preferred hedge.*

Rationale: Three developments would lead us to revise our forecast higher, with the first two already in motion: (1) **A prolonged disruption to Gulf exports that accelerates global oil inventory draws**. US crude oil stocks are visibly thinner, trending below their five-year range.

(2) **Lasting damage to production or export infrastructure**. Recent strikes on Saudi energy assets raise concerns more about the resilience of alternative export routes than about immediate production losses. Tighter US action against Iran-linked tankers could further constrain flows. (3) **Stronger-than-expected demand** that accelerates the tightening of physical balances. China appears to have resumed buying. Conversely, a credible normalisation in the Middle East remains the largest downside risk. With gasoline around USD 5 per gallon, the US administration has a clear incentive to facilitate a normalisation before the November US midterm elections.

We prefer to **hedge upside oil risk at the portfolio level** rather than through outright oil-sensitive exposure, with **US TIPS** being our preferred route against higher headline inflation.

— **Anthony Naab**, CFA, Investment Strategist

Our preferred Japan financial sector generates c.60% of its revenue domestically and stands to benefit from ongoing BoJ policy normalisation through wider net interest margins

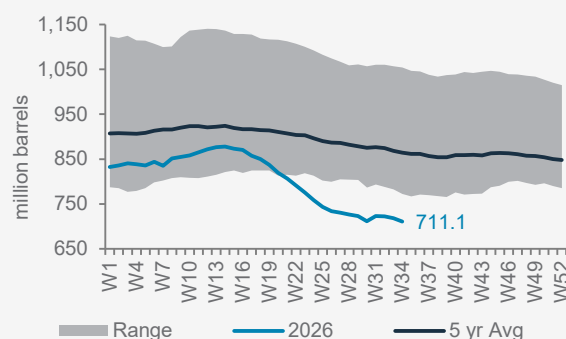
Domestic and overseas revenue exposure by MSCI Japan sectors

	Domestic	Overseas
MSCI Japan	43.4	56.6
Health Care	21.3	78.7
Technology	21.7	78.3
Discretionary	30.9	69.1
Materials	36.4	63.6
Staples	37.4	62.6
Industrials	46.9	53.1
Energy	54.9	45.1
Financials	58.6	41.4
Communication	75.8	24.2
Real Estate	90.2	9.8
Utilities	95.0	5.0

Source: FactSet, Standard Chartered

US crude oil stocks have fallen below their five-year average

Total US crude oil stocks (w/w), year-to-date (YTD) 2021-26



Source: EIA, Standard Chartered

Top client questions (cont'd)

Q What is your outlook for the EUR, GBP and JPY against the backdrop of this month's central bank policy meetings?

Our view: EUR/USD is supported by the ECB's monetary tightening path, but an increasingly likely Fed hike could limit its near-term upside. The JPY is likely relatively strong as we expect the BoJ to catch up with rate hikes. Meanwhile, the GBP remains vulnerable amid uncertainty around the UK's upcoming Autumn Budget.

Rationale: The ECB hiked rates by 25bps to 2.5% as expected, with the market now pricing in another hike in December. Euro area annual consumer inflation rose to 3.3% in August – the highest in nearly three years – driven by energy pass-through from the Middle East conflict. The ECB also raised its 2027 growth forecast to 1.4% from 1.2%, headline inflation forecast to 2.5% from 2.3% and core inflation forecast to 2.6% from 2.5%. **Greater economic resilience and persistent underlying inflation** leave the ECB open to another hike. However, wage growth moderated to 3.3% in Q2 (from 3.5%), approaching the ECB's c.3% compatibility threshold, which could temper the pace of subsequent hikes. We see **gradual upside risk for EUR/USD**, with resistance at 1.18 in the coming weeks, although a Fed hike could delay a sustained break higher.

We now see a Fed hike as increasingly likely next week, especially if core consumer price inflation rises by at least 0.2% m/m. August producer price inflation came in higher than expected. Firm **WTI oil prices above USD 100/bbl** increase the risk of higher inflation and inflation expectations in the months ahead. **A hike, or guidance signalling further tightening, would support the USD**, limiting the extent of EUR, JPY and GBP gains against it. We expect the USD Index (DXY) to be capped near 99.8.

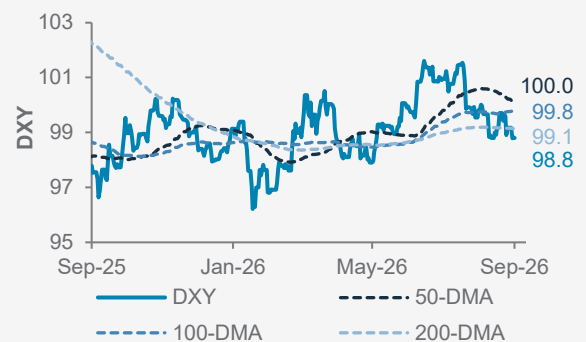
The **USD/JPY repricing** reinforces our concern about **BoJ policy normalisation**. Downside risks towards 150-152 remain significant, but a Fed hike and **still-large US-Japan yield and growth differentials** should provide some support. A cautious BoJ message could trigger a rebound, particularly after the recent sharp adjustment. We expect one hike next week, followed by another in Q4 (likely in December) and potentially one each in Q1 and Q2 2027.

BoE Governor Bailey has previously resisted calls for immediate tightening, preferring greater clarity on second-round inflation effects. However, **delayed energy price pass-through and rising food prices** are likely to push UK inflation higher. While renewed rate hike expectations provide a structural underpinning for the GBP, **the BoE's cautious stance relative to the ECB and the UK Autumn Budget uncertainty** remain significant headwinds. We expect GBP/USD to remain rangebound, with a bearish bias near 1.34. Above all, we see **some upside potential in EUR/GBP**.

— Vincent Tan, Senior Investment Strategist
— Iris Yuen, Investment Strategist

USD (DXY) index upside risk is likely limited

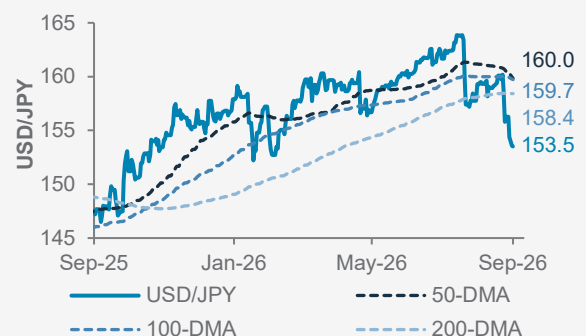
DXY and technicals



Source: Bloomberg, Standard Chartered

USD/JPY faces downside risks, with the support zone at 150-152

USD/JPY and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Does the latest ECB meeting change your outlook on policy rates?

***Our view:** The ECB raised its deposit rate by 25bps for the second time this year, taking it to 2.5%, in line with our expectations coming into this meeting. Given the new ECB staff projections that show higher inflation and stronger growth over the next couple of years, as well as ECB President Lagarde's hawkish remarks at the press conference, we are now projecting another deposit rate hike to 2.75% before year end.*

Rationale: The ECB cited the ongoing Middle East conflict as the primary driver of **renewed inflationary pressure**, with energy price shocks feeding through to broader price levels. The central bank stated that **inflation will likely remain above 2%** for an "extended period," and updated staff projections revised inflation higher for 2027 and 2028, with the 2028 inflation forecast now at 2.1%, slightly above the ECB's 2% target.

ECB President Lagarde described this week's hike as a "no brainer," with the decision bolstered by **stronger inflation and growth projections**. Key points from the press conference include:

- The ECB is not pre-committing to a particular rate path, reiterating **a meeting-by-meeting, data-dependent approach**.
- Lagarde noted that **the Governing Council did not discuss future meetings**, though the upward revision to the inflation and growth outlook has shifted the balance towards further tightening.
- The hawks within the Governing Council appear to be winning the internal debate and would prefer to continue hiking, with **the deposit rate potentially rising to at least 2.75%**.
- **The Euro area economy's surprising resilience** was acknowledged as a factor supporting the decision.
- **Core inflation remains above 2%** through the end of the forecast horizon, a signal that the ECB does not view the current tightening cycle as complete.

"Framework" guidance and market implications: The hawkish shift in the ECB's updated projections and Lagarde's decidedly hawkish comments lead us to **expect another 25bps hike by December**. The central bank's "meeting-by-meeting" stance means future decisions will be heavily influenced by incoming energy price data, second-round inflation effects and labour market developments. With seemingly no peace solution likely on the horizon in the Middle East, **risks could continue to skew to the upside for policy rates** as we head into 2027.

— **Jonathan Liang, CFA**, CIO for Fixed Income and FX

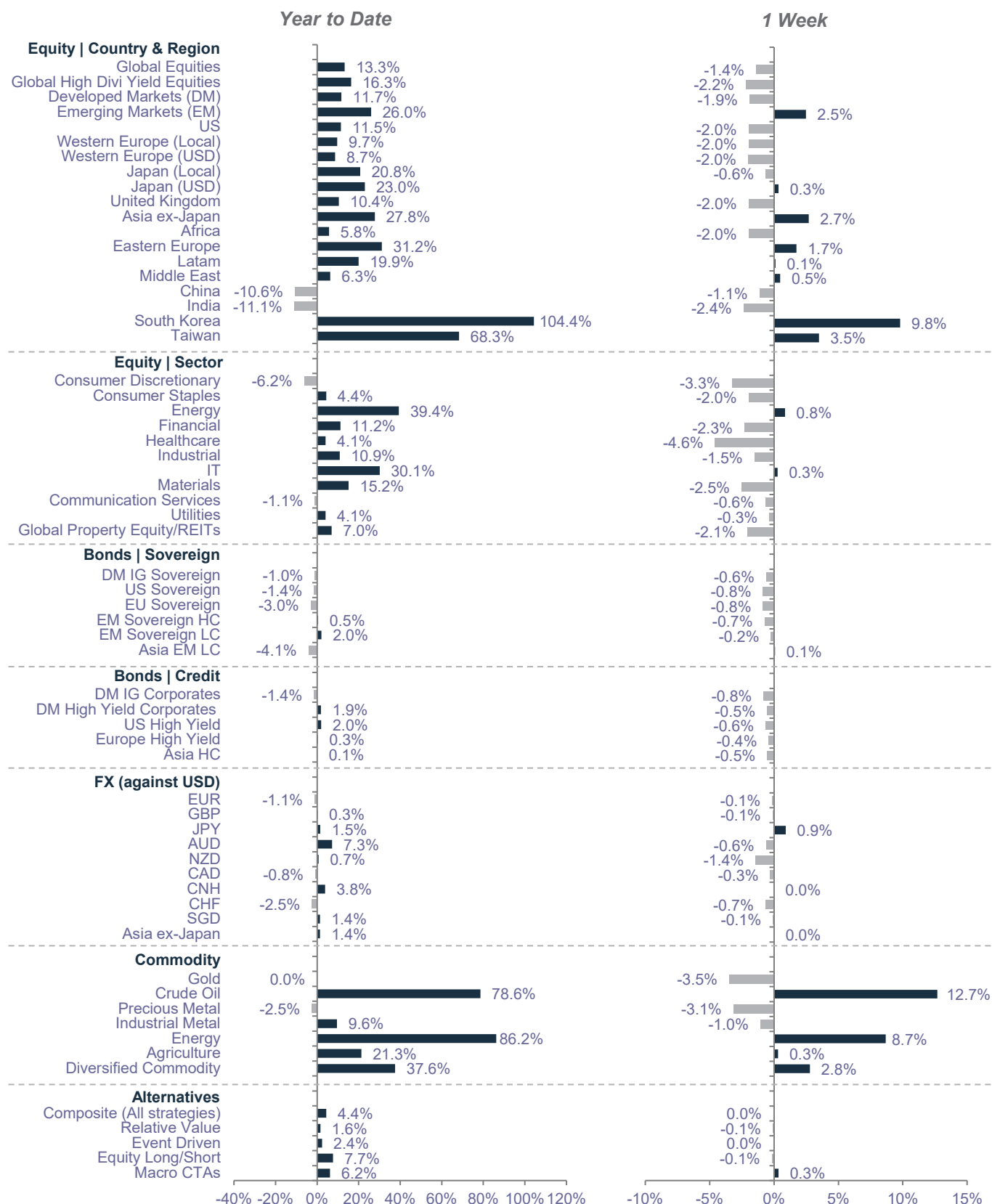
The new ECB staff projections show higher inflation and stronger growth over the next couple of years

ECB staff macroeconomic projections for the Euro area (% y/y)

		Jun 2026	Sep 2026
Growth	2026	0.8	0.9
	2027	1.2	1.4
	2028	1.5	1.5
Headline inflation	2026	3.0	3.0
	2027	2.3	2.5
	2028	2.0	2.1
Core inflation	2026	2.5	2.5
	2027	2.5	2.6
	2028	2.2	2.3

Source: European Central Bank, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 10 September 2026; 1-week period: 3 September 2026 to 10 September 2026

Our 12-month asset class views at a glance

Asset class					
Equities			Preferred Sectors		
US	▲		US Technology	▲	
Europe ex-UK	◆		US Communication	▲	
UK	▼		US Financials	▲	
Asia ex-Japan	▲		Europe ex-UK Financials	▲	
Japan	◆		Europe ex-UK Industrials	▲	
Other EM	◆		Japan Financials	▲	
			China Communication	▲	
			China Technology	▲	
Bonds					
Credit			Govt		
Asia USD	◆		Govt EM Local	◆	
Corp DM HY	◆		Govt DM IG	▼	
Govt EM USD	▲				
Corp DM IG	◆		Alternatives		
			Gold		
					▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,746

Technical indicators for key markets as of 10 Sep close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,592	7,509	7,746	19.1	1.2
STOXX 50	6,269	6,162	6,477	14.7	3.2
FTSE 100	10,609	10,495	10,821	12.6	3.5
TOPIX	4,055	3,967	4,181	15.8	2.3
Shanghai Comp	3,934	3,858	4,003	12.9	3.1
Hang Seng	24,954	24,543	25,713	10.5	3.4
Nifty 50	23,478	23,046	24,243	17.6	1.9
MSCI Asia ex-Japan	1,152	1,109	1,184	10.2	2.4
MSCI EM	1,745	1,681	1,789	10.0	2.7
Crude oil (WTI)	102.5	86.7	111.1	na	na
Gold	4,318	4,168	4,582	na	na
UST 10Y Yield	4.96	4.73	5.08	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

Market Event		Period Expected Prior			
MON					
	CNH	Retail Sales y/y	Aug	0.9%	0.6%
	CNH	Industrial Production y/y	Aug	4.8%	4.5%
	CNH	Fixed Assets Ex Rural YTD y/y	Aug	-7.1%	-6.7%
	CNH	Property Investment YTD y/y	Aug	-20.1%	-19.2%
TUE	EUR	ZEW Survey Expectations	Sep	–	31.4
	USD	Empire Manufacturing	Sep	12.1	20.6
	USD	Import Price Index y/y	Aug	–	5.9%
	USD	Retail Sales Ex Auto & Gas	Aug	0.4%	-0.2%
	USD	FOMC Rate Decision (Upper Bound)	16-Sep	3.75%	3.75%
WED	USD	FOMC Rate Decision (Lower Bound)	16-Sep	3.5%	3.5%
	EUR	CPI y/y	Aug F	–	3.3%
	EUR	CPI Core y/y	Aug F	–	2.4%
	GBP	Bank of England Bank Rate	17-Sep	3.8%	3.8%
	USD	Philadelphia Fed Business Outlook	Sep	32.1	47.4
THU					
	JPY	BoJ Target Rate	18-Sep	1.3%	1.0%
FRI/ SAT					

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 10 Sep close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.54
Global Equities	●	→	1.57
Gold	●	↑	1.81
Equity			
MSCI US	●	→	1.63
MSCI Europe	●	→	1.54
MSCI AC AXJ	●	↓	1.69
Fixed Income			
DM Corp Bond	●	↓	1.52
DM High Yield	●	↑	1.91
EM USD	●	↓	1.69
EM Local	●	↓	1.39
Asia USD	●	↓	1.72
Currencies			
EUR/USD	●	↑	1.84

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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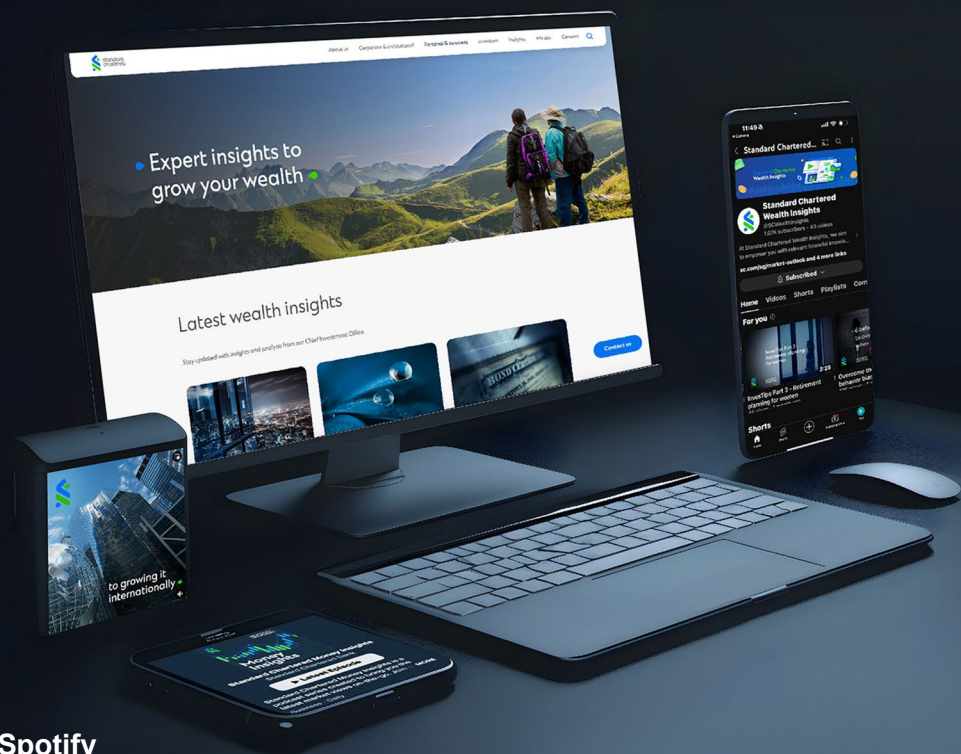
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